

Notes: Pirinsky and Wang (JF, 2006)
Does Corporate Headquarters Location Matter for Stock Returns?

Contents

1	One-sentence summary	2
2	Big picture	2
2.1	Research question	2
2.2	Headline result	2
2.3	Economic mechanism	2
2.4	What the paper rules out	2
2.5	Main takeaway	2
3	Incremental contribution of the paper	2
3.1	From local bias to asset pricing	2
3.2	Local comovement as a measurable factor	2
3.3	Headquarters relocation evidence	3
3.4	Separating local fundamentals from local trading	3
3.5	Cross-sectional mechanism tests	3
3.6	Broader contribution	3
4	Data and measurement	3
4.1	Sample construction	3
4.2	Geographic unit	3
4.3	Local stock index	3
4.4	Relocation sample	3
4.5	Fundamental measures	3
5	Model and empirical specifications	4
5.1	Baseline local-beta regression	4
5.2	Industry-adjusted specifications	4
5.3	Relocation regression	4
5.4	Earnings comovement regression	4
5.5	Local economic fundamentals regression	4
5.6	Cross-sectional determinant regressions	4
6	Identification and empirical design	5
6.1	Why local beta is informative	5
6.2	Why industry controls matter	5
6.3	Why relocation is powerful	5
6.4	Testing the fundamentals channel	5
6.5	Testing the local-investor channel	5

6.6	Key limitations	5
7	Tables and figures	5
7.1	Table I: Summary Statistics; Table II: Local Comovement	5
7.2	Table III: Headquarters Relocation and Local Comovement; Table IV: Comovement of Earnings	6
7.3	Table V: Comovement and Local Economic Fundamentals; Table VI: Headquarters Relocation and Local Fundamentals	7
7.4	Table VII: Cross-sectional Determinants of Local Comovement: Firm Characteristics; Table VIII: Cross-sectional Determinant of Local Comovement: Regional and Firm Characteristics .	8
8	Short summary	8
8.1	Main empirical facts	8
8.2	Main interpretation	9
9	Conclusion	9
9.1	Core conclusion	9
9.2	Incremental contribution revisited	9
9.3	Why fundamentals are insufficient	9
9.4	Implications for asset pricing	9
9.5	Limitations and future work	9
9.6	Takeaway	9

1 One-sentence summary

Pirinsky and Wang show that stock returns comove strongly with returns of firms headquartered in the same local area, and that this local comovement is better explained by geographic segmentation and local-investor trading than by local economic fundamentals.

2 Big picture

2.1 Research question

Does a firm’s headquarters location matter for the covariance structure of its stock returns? The paper asks whether a firm’s stock moves with other stocks headquartered in the same metropolitan area even after controlling for market and industry comovement.

2.2 Headline result

Stock returns of firms headquartered in the same Metropolitan Statistical Area (MSA) display strong local comovement. The average local beta is large and statistically significant in every subperiod. When firms move headquarters, their comovement with the old location falls and their comovement with the new location rises.

2.3 Economic mechanism

The authors argue that local comovement is consistent with geographic segmentation of domestic equity markets. Local investors overweight local firms in their portfolios, social interaction and local information flows create correlated local trading, and these trading patterns move local stocks together.

2.4 What the paper rules out

The paper shows that local fundamentals are unlikely to explain the stock-return comovement. Local earnings do not comove positively, and state-level economic activity explains only a small part of returns once local stock-index returns are included.

2.5 Main takeaway

Geography matters in asset pricing. Even within a highly integrated U.S. equity market, headquarters location helps organize stock-return comovement because investor clienteles and trading patterns have a local component.

3 Incremental contribution of the paper

3.1 From local bias to asset pricing

Before this paper, many studies documented that investors overweight local firms. Pirinsky and Wang ask the next asset-pricing question: does this local bias affect stock return covariances?

3.2 Local comovement as a measurable factor

The paper introduces a local stock index for each MSA and estimates each firm’s beta with respect to this local index. This creates a clean empirical object: local beta, β^{LOC} .

3.3 Headquarters relocation evidence

The paper uses firms that relocate headquarters for nonmerger reasons as a quasi-experimental test. If headquarters location matters through local investor clienteles, a relocating firm's local comovement should shift from the old area to the new area. This is exactly what the paper finds.

3.4 Separating local fundamentals from local trading

The paper explicitly compares return comovement with earnings comovement and local economic activity. This separates a fundamentals channel from an investor-trading channel.

3.5 Cross-sectional mechanism tests

The paper shows that local comovement is stronger for small, less visible, and more individually held firms, and in areas with lower financial sophistication. These patterns align with local-investor-based segmentation.

3.6 Broader contribution

The paper links corporate geography, investor clientele, and return covariance. It adds a geographic component to factor structure, cost-of-capital measurement, portfolio diversification, and performance evaluation.

4 Data and measurement

4.1 Sample construction

The sample contains domestic common stocks traded on NYSE, AMEX, and NASDAQ from 1988 to 2002 with headquarters information from Compact Disclosure. REITs, closed-end funds, and ADRs are excluded.

4.2 Geographic unit

The main geographic unit is the Metropolitan Statistical Area (MSA). Firms are assigned to MSAs by headquarters location. The authors require enough local firms to construct local stock indices.

4.3 Local stock index

For each firm, the local index is an equal-weighted return of all other firms headquartered in the same MSA, excluding the firm itself. Excluding the firm avoids mechanical correlation between the firm's return and its own local index.

4.4 Relocation sample

The paper identifies 118 firms that changed headquarters for nonmerger-related reasons between 1992 and 1997. These firms are used to compare local betas before and after the move.

4.5 Fundamental measures

Fundamentals are measured two ways. First, the authors study quarterly earnings growth and construct local and market earnings-growth indices. Second, they use state-level economic activity indices from the Federal Reserve Bank of Philadelphia as measures of local economic fundamentals.

5 Model and empirical specifications

5.1 Baseline local-beta regression

For stock i headquartered in MSA l , the baseline monthly return specification is

$$R_{i,t} = \alpha_i + \beta_i^{LOC} R_{l,t}^{LOC} + \beta_i^{MKT} R_t^{MKT} + \varepsilon_{i,t}.$$

A positive and significant β_i^{LOC} means that the stock comoves with other stocks headquartered in the same local area.

5.2 Industry-adjusted specifications

To address geographic industry clustering, the authors add industry returns:

$$R_{i,t} = \alpha_i + \beta_i^{LOC} R_{l,t}^{LOC} + \beta_i^{MKT} R_t^{MKT} + \beta_i^{IND} R_{i,t}^{IND} + \varepsilon_{i,t}.$$

They also use alternative industry indices based on the industries that best explain a firm's returns. Local comovement remains strong.

5.3 Relocation regression

For relocating firms, returns are regressed on old-location and new-location local indices before and after the move:

$$R_{i,t} = \alpha_i + \beta_i^{LOCO} R_{i,t}^{LOCO} + \beta_i^{LOCN} R_{i,t}^{LOCN} + \beta_i^{MKT} R_t^{MKT} + \varepsilon_{i,t}.$$

The key prediction is that β^{LOCO} falls and β^{LOCN} rises after relocation.

5.4 Earnings comovement regression

The earnings test replaces returns with earnings growth:

$$\Delta E_{i,t} / BE_{i,t-k} = \alpha_i + \beta_{E,i}^{LOC} \Delta E_{l,t}^{LOC} + \beta_{E,i}^{MKT} \Delta E_t^{MKT} + u_{i,t}.$$

If local stock comovement is driven by fundamentals, local earnings betas should be positive. They are not.

5.5 Local economic fundamentals regression

The state-economic-index test asks whether current returns are explained by future local and national economic activity:

$$R_{i,t} = \alpha_i + \beta^{LOC} R_{l,t}^{LOC} + \beta^{MKT} R_t^{MKT} + \sum_{s=1}^3 \gamma_s LF_{l,t+s} + \sum_{s=1}^3 \delta_s NF_{t+s} + \varepsilon_{i,t}.$$

Local fundamentals matter only weakly and do not eliminate local return comovement.

5.6 Cross-sectional determinant regressions

Estimated local betas are regressed on firm and regional characteristics:

$$\widehat{\beta}_{i,\tau}^{LOC} = a_\tau + bX_{i,\tau} + cZ_{l,\tau} + e_{i,\tau}.$$

Firm variables include size, profitability, number of shareholders, institutional ownership, advertising, and leverage. Regional variables include number of local firms, industry concentration, personal income, and investment income.

6 Identification and empirical design

6.1 Why local beta is informative

The local beta test asks whether stocks move with other stocks in the same MSA after controlling for broad market and industry shocks. The key identifying variation is residual comovement within geography.

6.2 Why industry controls matter

Industries are geographically clustered. Without industry controls, a local beta could simply reflect Silicon Valley technology firms or Detroit auto firms moving together. The paper therefore controls for industry indices and alternative best-fit industry portfolios.

6.3 Why relocation is powerful

A headquarters relocation changes the local investor base associated with a firm, but does not necessarily change its industry. The post-relocation shift in comovement is therefore hard to explain by static firm fundamentals.

6.4 Testing the fundamentals channel

The paper uses two direct tests. First, it asks whether earnings comove locally. Second, it asks whether state economic activity explains returns. Both tests weaken the fundamentals story.

6.5 Testing the local-investor channel

The cross-sectional predictions follow from local investor bias. Local comovement should be stronger where local investors matter more: smaller firms, less visible firms, firms with more individual ownership, and less financially sophisticated regions.

6.6 Key limitations

The paper cannot directly observe all local investors' trades. It infers the trading channel from return patterns, relocation evidence, and cross-sectional determinants. State-level fundamentals are also imperfect proxies for firm-level local exposure.

7 Tables and figures

7.1 Table I: Summary Statistics; Table II: Local Comovement

Read: Table I describes the sample by firms, MSAs, and industries. Table II reports the main local-beta estimates across three subperiods and increasingly rich controls.

Economic message: Table II is the core empirical fact: local betas are economically large and statistically strong even after market and industry controls. Locality is a return factor, not just a demographic attribute.

Interpretation: The important contrast is between the local beta and the market or industry beta. Local betas remain large even when industry comovement is controlled, meaning local return comovement is not simply industrial clustering.

Table I
Summary Statistics

Panel A of the table provides the total number of firms and Metropolitan Statistical Areas (MSAs) in the sample as well as the distribution of the number of firms per MSA for 1988, 1995, and 2002. Panel B of the table reports the distribution of the total number of industries in each MSA for the same years. The sample includes domestic common stocks traded on NYSE, AMEX, and NASDAQ from 1988 to 2002 with coverage in Compact Disclosure. We exclude REITs, closed-end funds, and ADRs. For all firms that relocated their headquarters over the period, we also exclude all firm-months before the relocation.

Panel A						
Year	Number of Firms	Number of MSA	Number of Firms per MSA			
			Mean	Median	Min.	Max.
1988	4,131	86	48	16	5	769
1995	5,122	95	54	19	5	783
2002	4,205	81	52	18	5	622

Panel B						
Year	Number of Industries	Number of Industries per MSA				Max.
		Mean	Median	Min.	Max.	
1988	48	15	12	3	47	
1995	48	15	12	4	44	
2002	48	14	11	3	42	

(a) Table I: Summary Statistics. The table documents sample coverage across MSAs and industries.

Table II
Local Comovement

For each stock in the sample, we estimate three time-series regressions of monthly stock returns on the returns of a local index, the market portfolio, and industry indices for three 5-year periods: 1988–1992, 1993–1997, and 1998–2002. Cross-sectional averages of the estimated coefficients (betas) from the time-series regressions and their t -statistics are presented in the table. The local index is constructed as the equally weighted return of all stocks from the firm's corresponding MSA, excluding the firm itself. The market index is the value-weighted return of all stocks in the market. R_t^{IND} is the equally weighted return of the stock's corresponding industry, according to the Fama and French 48-industry classification; $R_t^{IND_1}$ is the return of the industry that explains best the returns of the stock out of the remaining 47 industries over the previous 5-year period in terms of the highest R^2 (equation (4) in the text); and, $R_t^{IND_2}$ is the second-best industry out of the remaining 47 industries that generates the highest R^2 from the regression of the returns of the stock on the returns ($R_t^{IND_1}$, $R_t^{IND_2}$) (equation (5) in the text). The sample includes domestic common stocks traded on NYSE, AMEX, and NASDAQ from 1988 to 2002 with coverage in Compact Disclosure. We exclude REITs, closed-end funds, and ADRs. For all firms that relocated their headquarters over the period, we also exclude all firm-months before the relocation.

	β^{LOC}	β^{MKT}	β^{IND}	β^{IND_1}	β^{IND_2}
Model 1					
1988–1992	0.760	0.203			
t -stat	37.06	8.40			
1993–1997	0.715	0.238			
t -stat	50.42	13.72			
1998–2002	0.817	0.198			
t -stat	51.93	10.79			
Model 2					
1988–1992	0.545	−0.135	0.637		
t -stat	22.58	−5.16	29.40		
1993–1997	0.532	−0.168	0.710		
t -stat	27.37	−9.04	43.15		
1998–2002	0.459	−0.087	0.735		
t -stat	23.08	−4.65	44.34		
Model 3					
1988–1992	0.657	−0.119	0.795	−0.153	−0.141
t -stat	22.18	−4.72	26.65	−5.77	−5.49
1993–1997	0.628	−0.120	0.803	−0.081	−0.159
t -stat	26.29	−6.19	34.50	−3.55	−7.88
1998–2002	0.575	−0.078	0.901	−0.136	−0.173
t -stat	23.37	−3.89	41.24	−5.78	−8.39

(b) Table II: Local Comovement. The table shows that local stock-return betas are large across subperiods and model specifications.

7.2 Table III: Headquarters Relocation and Local Comovement; Table IV: Comovement of Earnings

Read: Table III shows that relocating firms shift return comovement from their old location to their new location. Table IV shows that earnings do not display positive local comovement.

Economic message: The paired tables separate geography-as-trading from geography-as-fundamentals. Headquarters changes affect return comovement, while local earnings comovement is absent or negative.

Interpretation: Table III is a quasi-experimental validation of the location mechanism. Table IV is a falsification test for the fundamentals story. Together, they make a strong case that local stock comovement is not driven by shared local cash-flow fundamentals.

Table III
Headquarters Relocation and Local Comovement

We identify a sample of 118 firms that change the geographic location of their headquarters for nonmerger-related reasons between 1992 and 1997 from Compact Disclosure. For each stock in the sample we estimate time-series regressions of monthly stock returns on the returns of the stock's old local index, the stock's new local index, and the market portfolio for two periods: the 5 years before the relocation and the 5 years after the relocation. In (1), we report averages of the estimated coefficients and their t -statistics. In (2), we report averages of the estimated coefficients and their t -statistics from an extended model that includes an industry index of the stock's corresponding industry group. The difference between the estimated pre- and post-relocation coefficients (betas) and their t -statistics are presented in rows 5 and 6.

	(1)			(2)			
	β^{LOCO}	β^{LOCN}	β^{MKT}	β^{LOCO}	β^{LOCN}	β^{MKT}	β^{IND}
Before relocation	0.546	0.157	0.262	0.177	0.010	-0.011	0.919
t -stat	4.10	1.71	0.48	1.52	0.07	-0.09	7.82
After relocation	0.275	0.738	0.148	-0.170	0.570	-0.125	0.834
t -stat	2.43	5.82	1.40	-1.42	3.24	-0.91	5.21
Difference	-0.271	0.581	-0.114	-0.347	0.561	-0.113	-0.085
t -stat	-2.03	4.68	-0.86	-2.66	4.28	-0.56	-0.12

(a) Table III: Headquarters Relocation and Local Comovement. Old-location betas fall and new-location betas rise after moves.

Table IV
Comovement of Earnings

For each stock in the sample, we estimate time-series regressions of its earnings growth rate on local and market earnings growth indices. We consider two earnings growth variables. The first one, $dE/BE1$, is constructed using earning changes from the previous quarter scaled by the lagged book value of equity, while the second one, $dE/BE4$, is constructed using earnings changes from the same quarter in the previous year scaled by the lagged book value of equity. The local earnings-growth index includes all stocks from the firm's corresponding MSA excluding the firm itself, and the market earnings growth index includes all stocks in the market. We consider both equally weighted and value-weighted indices. Mean (median) values of the estimated coefficients (betas) and their t -statistics (p -values) are presented in the table. The sample includes domestic common stocks traded on NYSE, AMEX, and NASDAQ from 1988 to 2002 with coverage in Compact Disclosure. We exclude REITs, closed-end funds, and ADRs.

	Equally Weighted		Value Weighted	
	β^{LOC}	β^{MKT}	β^{LOC}	β^{MKT}
$dE/BE1$				
mean	-0.259	0.729	-0.130	0.331
t -stat	-23.36	28.53	-8.31	8.33
median	-0.038	0.136	-0.019	0.201
p -value	0.00	0.00	0.00	0.00
$dE/BE4$				
mean	-0.203	1.600	-0.111	0.141
t -stat	-29.09	54.80	-9.32	1.20
median	-0.050	0.901	-0.010	0.041
p -value	0.00	0.00	0.00	0.00

(b) Table IV: Comovement of Earnings. Local earnings betas are not positive, weakening a local-fundamentals interpretation.

7.3 Table V: Comovement and Local Economic Fundamentals; Table VI: Headquarters Relocation and Local Fundamentals

Read: Table V adds state-level local economic fundamentals and national fundamentals to return regressions. Table VI performs the local-fundamentals test around headquarters relocations.

Economic message: State economic fundamentals have some explanatory power, but they do not explain away local stock-return comovement. After relocation, return sensitivity to local fundamentals is still too weak to account for the local-beta shifts.

Interpretation: The local economic index is an imperfect but direct measure of regional fundamentals. The fact that the local stock index remains powerful after adding fundamentals suggests a trading or sentiment component.

Table V
Comovement and Local Economic Fundamentals

For each stock in the sample we regress the returns of the stock on the returns of its corresponding local index, the market index, and lead values of the changes of its corresponding local economic fundamentals (LF) and national economic fundamentals (NF) over the following 3 months, as detailed in equation (9) in the text. The local economic fundamentals variable is the state economic index from the MSA's state, developed by the Federal Reserve Bank of Philadelphia. The national economic fundamental variable is the national economic index from the same data. The last column of the table estimates averages of the estimated coefficients and their t -statistics of equation (9). The first four columns estimate alternative specifications of (9) over subsets of the independent variables. The sample includes domestic common stocks traded on NYSE, AMEX, and NASDAQ from 1988 to 2002 with coverage in Compact Disclosure. We exclude REITs, closed-end funds, and ADRs.

	(1)	(2)	(3)	(4)	(5)
Intercept	0.005	0.005	0.005	0.006	0.003
t -stat	14.95	7.68	7.35	8.77	4.10
Market index				1.014	0.178
t -stat				100.10	12.40
Local index					0.776
t -stat					60.03
National fundamentals	0.100		0.091	0.017	0.000
t -stat	24.53		17.63	3.43	-0.02
Local fundamentals		0.069	-0.002	-0.045	-0.004
t -stat		10.49	-0.28	-5.82	-0.46

(a) Table V: Comovement and Local Economic Fundamentals. Local stock-index comovement remains strong after adding fundamentals.

Table VI
Headquarters Relocation and Local Fundamentals

We identify a sample of 118 firms that change the geographic location of their headquarters for nonmerger-related reasons between 1992 and 1997. For each stock in the sample we estimate time-series regressions of monthly stock returns on lead values of changes of the stock's local economic fundamentals of the old location (LFO) and the new location (LFN) for two periods: the 5 years before the relocation and the 5 years after the relocation. The local economic variable is the state economic index from the MSA's state, developed by the Federal Reserve Bank of Philadelphia, and is measured over the following 3 months. In the first panel of the table, we report averages of the estimated coefficients and their t -statistics. In the second panel of the table, we report averages of the estimated coefficients and their t -statistics from an extended model that includes the returns of the old local stock index, the new local stock index, and the market portfolio.

	β^{MKT}	β^{LOCO}	β^{LOCN}	β^{LFO}	β^{LFN}
Model 1					
Before relocation				0.056	-0.060
t -stat				0.82	-0.76
After relocation				-0.243	0.104
t -stat				-1.96	1.71
Model 2					
Before relocation	0.043	0.428	0.296	0.020	-0.069
t -stat	0.33	3.84	2.08	0.28	-0.81
After relocation	-0.067	0.203	0.829	-0.299	0.064
t -stat	-0.57	2.19	6.68	-2.54	0.47

(b) Table VI: Headquarters Relocation and Local Fundamentals. Fundamentals do not replicate the relocation-based local-beta shift.

7.4 Table VII: Cross-sectional Determinants of Local Comovement: Firm Characteristics; Table VIII: Cross-sectional Determinant of Local Comovement: Regional and Firm Characteristics

Read: Table VII relates local betas to firm characteristics. Local comovement is stronger for smaller firms, less profitable firms, firms with fewer shareholders, and firms with lower institutional ownership. Table VIII adds regional variables and finds stronger local comovement in areas with more firms and lower financial sophistication proxies.

Economic message: These results support the geographic-segmentation mechanism. Local comovement is strongest where local investor clientele and local information/social interaction should matter most.

Interpretation: Table VII and Table VIII are mechanism tables. If local comovement were purely fundamental, it should not depend so strongly on visibility, ownership, and regional sophistication. The cross-sectional patterns are more consistent with local investor trading.

Table VII
Cross-sectional Determinants of Local Comovement: Firm Characteristics

For each stock in the sample, we estimate time-series regressions of monthly stock returns on the returns of a local index and the market portfolio for three 5-year periods: 1988–1992, 1993–1997, and 1998–2002. We then regress the estimated local beta on the following firm characteristics: Size, the natural logarithm of the market capitalization of the firm; Leverage, the total debt over assets ratio; Dividend Yield, the dividend payout divided by the market value of equity; Market-to-book, the market to book ratio; ROA, return on assets; Advertising, the natural logarithm of advertising expenditures; Advertising $\times$ Size, the natural logarithm of advertising expenditures interacted with size; Number of Shareholders, the natural logarithm of number of shareholders; and Institutional Ownership, the fraction of the number of shares held by institutional investors relative to the total number of shares. All independent variables are 5-year annual averages for the three periods. Estimated coefficients and their t -statistics are presented in the table. The sample includes domestic common stocks traded on NYSE, AMEX, and NASDAQ from 1988 to 2002 with coverage in Compact Disclosure. We exclude REITs, closed-end funds, and ADRs.

	Full Sample		1988–1992		1993–1997		1998–2002	
	(1)	(2)	(1)	(2)	(1)	(2)	(1)	(2)
Int. 1988–1992	1.368	1.328	1.299	1.298				
	47.60	44.72	25.57	24.06				
Int. 1993–1997	1.490	1.440			1.496	1.414		
	49.49	45.34			34.41	30.28		
Int. 1998–2002	1.603	1.551					1.649	1.598
	50.04	46.09					35.76	33.36
Size	–0.133	–0.094	–0.125	–0.117	–0.141	–0.094	–0.135	–0.092
	–27.02	–11.27	–11.89	–5.75	–18.00	–6.86	–17.43	–7.61
Leverage	–0.243	–0.221	–0.074	–0.091	–0.204	–0.168	–0.438	–0.394
	–5.57	–5.05	–0.92	–1.12	–2.44	–2.01	–6.49	–5.81
Dividend yield	0.000	0.000	–0.503	–0.506	0.002	0.003	–0.002	–0.002
	0.02	0.05	–2.11	–2.11	0.47	0.61	–0.40	–0.44
Market-to-book	0.000	0.000	0.001	0.001	0.004	0.004	0.000	0.000
	0.98	0.73	0.74	0.71	2.78	2.38	0.15	–0.04
ROA	–0.642	–0.620	–0.527	–0.511	–0.462	–0.468	–0.786	–0.740
	–19.97	–19.01	–6.57	–6.28	–8.71	–8.76	–17.51	–16.16
Advertising		0.074		0.231		0.068		0.050
		2.49		3.51		1.37		2.12
Advertising $\times$ Size		–0.009		–0.029		–0.006		–0.084
		–2.39		–3.30		–0.99		–2.89
Number of shareholders		–0.047		0.033		–0.106		–0.034
		–4.04		1.10		–5.66		–2.11
Institutional ownership		–0.324		–0.315		–0.175		–0.459
		–5.29		–2.96		–1.80		–5.21
Number of observation	12,899	12,899	3,565	3,565	4,594	4,594	4,737	4,737
Adjusted R^2	0.432	0.443	0.07	0.07	0.10	0.11	0.16	0.16

(a) Table VII: Firm-characteristic determinants of local comovement. Smaller, less visible, and more individual-investor firms have higher local betas.

Table VIII
Cross-sectional Determinant of Local Comovement: Regional and Firm Characteristics

For each stock in the sample, we estimate time-series regressions of monthly stock returns on the returns of a local index and the market portfolio for three 5-year periods: 1988–1992, 1993–1997, and 1998–2002. We then regress the estimated local beta on the following regional and firm characteristics: Number of Firms, the total number of stocks in one MSA; Industry Concentration, the Herfindahl index calculated based on the percentage of firms in one industry for an MSA; Personal Income, the per capita personal income for the MSA; Investment Income, the per capita investment income for the MSA; Size, the natural logarithm of the market capitalization of the firm; Leverage, the total debt over assets ratio; Dividend Yield, the dividend payout divided by the market value of equity; Market-to-book, the market to book ratio; ROA, return on assets; Advertising, the natural logarithm of advertising expenditures; Advertising $\times$ Size, the natural logarithm of advertising expenditures interacted with size; Number of Shareholders, the natural logarithm of number of shareholders; and Institutional Ownership, the fraction of the number of shares held by institutional investors relative to the total number of shares. All independent variables are 5-year annual averages for the three periods. Estimated coefficients and their t -statistics are presented in the table. The sample includes domestic common stocks traded on NYSE, AMEX, and NASDAQ from 1988 to 2002 with coverage in Compact Disclosure. We exclude REITs, closed-end funds, and ADRs.

	(1)	(2)	(3)	(4)	(5)
Time fixed effects	Yes	Yes	Yes	Yes	Yes
Number of firms	0.047	0.019	0.037	0.002	0.001
	11.90	3.27	9.28	0.40	0.16
Industry concentration	–1.457	–1.679	–1.015	–1.349	–1.409
	–6.67	–7.61	–4.50	–5.92	–6.17
Personal income		0.035		0.045	0.045
		7.09		9.10	9.08
Investment income		–0.046		–0.073	–0.074
		–4.33		–6.75	–6.85
Size			–0.133	–0.138	–0.100
			–26.85	–27.72	–11.89
Leverage			–0.209	–0.177	–0.158
			–4.77	–4.05	–3.59
Dividend yield			0.001	0.001	0.001
			0.23	0.29	0.30
Market-to-book			0.000	0.000	0.000
			0.83	0.71	0.50
ROA			–0.613	–0.599	–0.576
			–19.06	–18.62	–17.61
Advertising					2.84
					0.083
Advertising $\times$ Size					–0.011
					–2.99
Number of shareholders					–0.034
					–2.95
Institutional ownership					–0.329
					–5.41
Numbers of observations	14,655	14,655	12,745	12,745	12,745

(b) Table VIII: Regional and firm determinants of local comovement. Regional sophistication and market structure help explain local betas.

8 Short summary

8.1 Main empirical facts

- Stocks comove strongly with other stocks headquartered in the same MSA.

- Local comovement survives controls for the market and industry.
- Headquarters relocation shifts comovement from the old region to the new region.
- Earnings and local economic fundamentals do not explain the return comovement.
- Local comovement is stronger among firms and regions where local investors are likely to matter more.

8.2 Main interpretation

The evidence supports geographic segmentation of equity markets. Local investor demand and local trading patterns create a local component in stock returns.

9 Conclusion

9.1 Core conclusion

Pirinsky and Wang show that corporate headquarters location matters for stock returns. Stocks headquartered in the same MSA comove substantially, and this comovement changes when firms relocate their headquarters.

9.2 Incremental contribution revisited

The paper’s incremental contribution is to move the local-bias literature from holdings to prices. It demonstrates that local investor preferences and local trading patterns can affect the covariance structure of stock returns.

9.3 Why fundamentals are insufficient

The earnings and state-economic-index tests indicate that local stock-return comovement is too strong to be explained by shared local fundamentals. Relocation evidence reinforces this point because comovement shifts with headquarters location.

9.4 Implications for asset pricing

If geography affects comovement, then local factors may affect diversification, risk measurement, and cost-of-capital estimates. Investors diversified by industry but concentrated geographically may still bear local pricing risk.

9.5 Limitations and future work

The paper does not observe all investor trades and uses imperfect proxies for regional fundamentals. Future work can combine household and institutional trading data with headquarters information to measure the local trading channel more directly.

9.6 Takeaway

The main takeaway is that equity markets are locally segmented even within one country. Headquarters location helps identify a local demand component in stock returns.